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FX RATES

July ECB Cheat Sheet: No lull in sight

We expect the ECB to hold rates steady on Thursday. But what was meant to be a quiet meeting may evolve into a hawk-dove tug-of-war. Against the backdrop of renewed escalation in Iran, we think the policy message should focus on preserving market pricing, with hints of a September hike. Still, rates and FX are likely to take their lead from the oil market



The European Central Bank, led by Christine Lagarde, is likely to keep rates on hold at the July meeting.

This is our market preview of June's ECB meeting; you can find our macro team's preview [here](#).

The European Central Bank is likely to leave rates unchanged on 23 July. Consensus is unanimous and markets are pricing less than a 5% chance of a hike. That fits the natural progression from June's hike, which was largely driven by higher energy prices, and felt more like an 'insurance' move than the start of a tightening cycle. Still, the stream of geopolitical and energy-market headlines since then means that a surprise hike should not be fully ruled out, in our view.

Among the more realistic hold scenarios, our baseline remains hawkish-leaning. Without

updated economic projections, the communication will have to do the heavy lifting. We expect the hawkish wing of the governing council to remain more dominant, keeping market pricing skewed towards one or two rate hikes by year-end and limiting the risk of inflation expectations becoming de-anchored.

That may require signalling that a September hike remains the base case. Such a message is unlikely to feature in the cautious statement or press conference, but could well surface via the now familiar post-meeting media leak.

Scenario analysis: How to position for Lagarde's alternatives

	 Inflation outlook	 Growth outlook	 Interest rates		
Current stance	Upside risks due to higher energy prices, second-round effects possible	Risks tilted to the downside, especially in the near term, due to the Middle East war	Depo rate at 2.25%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.140)	10Y Bund (3.10%)
Dovish	Recent easing in energy prices has reduced the risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	Hold. Must be careful not to overtighten – implicit hints June was 'one and done'	1.130	3.05%
Neutral	Reiterating June views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, but did not increase any further since June	Hold. Not giving any new guidance. Reiterating wide optionality on rates	1.137	3.10%
Hawkish ING base-case	Latest re-escalation is bringing fresh upside risks to inflation	While downside risks persist, a variety of indicators have improved	Hold. Implicitly signalling another rate hike is the baseline scenario	1.140	3.15%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	25bp hike. Retaining optionality to hike further, but staying data-dependent	1.150	3.20%

Source: ING

Rates: Oil back in the driving seat

Rates are following the same playbook as at the start of the Iran conflict, with a jump in oil prices immediately reflected in tighter monetary policy expectations. A September hike is almost fully priced in and, unless oil prices ease before that meeting, we doubt markets will change their mind. The ECB probably has more influence over the market pricing thereafter, where the path of future hikes is less clear.

But even if the ECB decides to turn very hawkish at this week's meeting and hikes by 25bp, we doubt rates have much upside. If framed correctly, such a move would likely be interpreted more as a frontloading of the September hike. In addition, a hawkish policy surprise would likely weigh on longer-dated inflation expectations, limiting the upside of longer-dated rates.

A key difference compared to a few months ago is that real rates are much higher now. Higher real rates also explain why the 2Y euro swap rate has hit new highs despite Brent oil still trading well below \$100. The higher real rates are driven by a recovering growth outlook and a more hawkish assessment of central bank policy, both factors arguably amplified by US dynamics. In particular, a less dovish-than-feared Federal Reserve Chair Kevin Warsh has turned global market sentiment more hawkish. So, unless the ECB expresses a significantly

more pessimistic view on the economic outlook or explicitly communicates a more dovish reaction function, we think real rates can continue to stay elevated.

FX: Hawkish ECB is necessary but not sufficient for EUR resilience

The EUR:USD two-year swap rate differential has tightened by around 25bp since the early-July military re-escalation in the Gulf. This mirrors the move seen in March and suggests that markets believe the ECB has greater scope to adopt a more hawkish stance than the Fed, given its lower starting level of rates.

But even at the peak of this spring's oil rally, markets proved reluctant to price the ECB depo rate above 2.75% by year-end. Pricing is currently 2.65%, suggesting that further oil rallies may provide diminishing support for EUR/USD through the front-end rates channel and exert greater pressure via the energy/risk sentiment story.

Given how much EUR/USD has relied on the tighter rate differential to stay resilient in spite of Gulf headlines, a hawkish-leaning ECB remains a necessary condition for the pair to stay above 1.140. Still, we doubt it will be sufficient, and a retest of the June low of 1.133 remains a near-term risk.

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

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